

FRVO

FRVO N/A

Hold	\$24.76 ▼ 1.04%	12M Price Target \$32.00	52-Week Range \$23.10 – \$42.65	Market Cap \$7.30B
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FRVO: Bleeding to 52-Week Lows Despite Nvidia Halo

WHAT HAPPENED

- Stock is quietly bleeding — down from \$27.35 to \$24.76 in a week on collapsing volume (only 194K shares today vs. 3.7M last Wednesday). That volume drop is telling: it's not panic selling, it's buyer's strike. Nobody wants to catch the knife even after the Nvidia partnership news, which normally would have been a rocket.
- The Barchart "looks very risky" note on Sunday probably accelerated the slide — it validated what the tape was already saying, that the AI-power narrative isn't enough when you're pre-revenue and staring at real execution risk on the Utah project.

WHY IT MATTERS

Here's what I'd infer: FRVO has become a "prove it" stock. The Nvidia digital-twin partnership (announced July 10) should have been a monster catalyst — instead the stock kept dropping. That means the market has already priced in the "AI needs power, geothermal is cool" story and now wants to see actual megawatts delivered and actual contracts signed with hyperscalers (the Microsofts and Googles of the world). At 8% of the 52-week range, the stock is essentially in capitulation territory — which historically is either a great entry or a warning that something structural is wrong. The put/call ratio at 1.43 (more bearish bets than bullish) suggests smart money isn't ready to call the bottom yet.

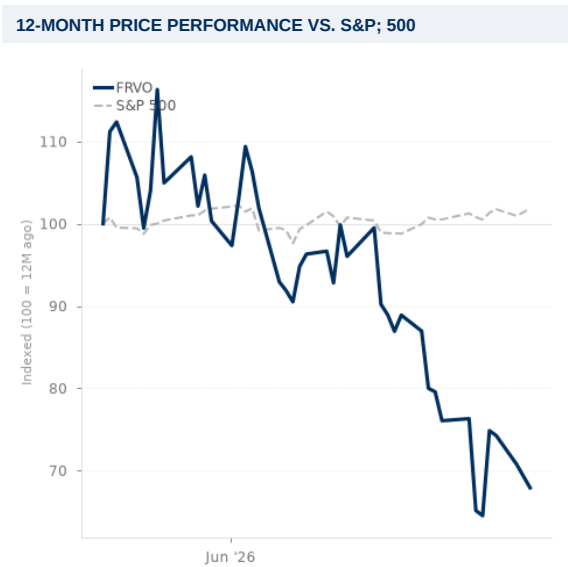
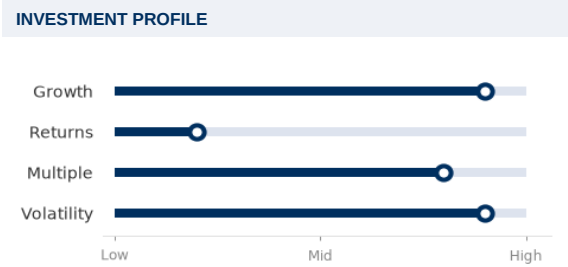
POLICY & POLITICAL WATCH

The policy backdrop is actually mixed for FRVO right now. Geothermal still enjoys the Inflation Reduction Act's investment tax credits (roughly 30-50% off project costs), but the Trump administration has been chipping away at clean energy subsidies — and Congress is actively debating IRA rollbacks in the 2026 budget reconciliation talks. The wrinkle: geothermal has bipartisan support because it's "baseload" (runs 24/7, unlike solar/wind) and pairs perfectly with the administration's "energy dominance" and AI infrastructure push. Watch for any executive order on federal land drilling permits — Fervo's projects sit on BLM land, and faster permitting would be a real tailwind.

IS IT EXPENSIVE?

At \$7.3B market cap on maybe \$200M of 2026 revenue, you're paying about \$35 for every \$1 of revenue — that's ludicrous for a normal company, but not crazy for a pre-scale energy infrastructure play with a moonshot addressable market. The problem is peers like nuclear SMR names (NuScale, Oklo) trade at similar nosebleed multiples but with more explicit hyperscaler dollars flowing in. FRVO is priced like the story is working, but the chart says the story is fraying — that mismatch is why the stock keeps grinding lower.

Key Data	
Price (USD)	\$24.76
12M Price Target	\$32.00
Upside / (Downside)	+29.2%
Market Cap	\$7.30B
FY2026E Revenue	\$210M
FY2027E Revenue	\$385M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$30.00	\$25.00	\$21.00
6 Months	\$38.00	\$28.00	\$19.00
1 Year	\$48.00	\$32.00	\$17.00
2 Years	\$65.00	\$40.00	\$15.00
5 Years	\$110.00	\$60.00	\$12.00
10 Years	\$220.00	\$100.00	\$8.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech and Comm Services are leading (+1.17% and +1.35% today) — money is still flowing into the AI winners with actual earnings. Utilities and nuclear names are the "AI power" trade of choice right now because they have cash flow today.

COOLING OFF: Materials is weak (-1.6% over 5 days) suggesting commodity/infrastructure names are out of favor — that's a modest headwind for capital-intensive builders like FRVO.

ROTATION WATCH: Money is rotating from speculative energy transition names toward proven cash generators. That's exactly why FRVO can't catch a bid despite great headlines — it's on the wrong side of the "show me the money" rotation.

RELATED PLAY: If you want the AI-power theme without single-name risk, look at Constellation (CEG), Vistra (VST), or NextEra (NEE) — they're selling power to hyperscalers today, not in 2027.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear operator with signed Microsoft PPA — the market is rewarding actual hyperscaler dollars in the door
- VST (Vistra): Similar story, riding data center power demand with real revenue attached

FRVO CONTEXT: FRVO is badly lagging the AI-power peer group. While CEG and VST have been ripping on real contracts, FRVO is at 8% of its 52-week range. That tells you the market is punishing the pre-revenue names and rewarding the ones with cash flow — which is a rational rotation, not a sentiment glitch. FRVO needs a monetization catalyst to close that gap.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$22-24 near 52-week low, or breakout above \$28 with volume

Time Horizon: 18-36 months

Thesis Invalidation: Utah project delayed past 2026 or major hyperscaler power deal goes to a competitor

Hedging: Pair with a profitable utility like NEE or a nuclear name to stay long the AI power theme without single-name risk